

It may be objected that the large increase in bond interest rates since 1961 would justify some offsetting reduction in the coverage of charges required. Obviously it would be much harder for an industrial company to show a seven-times coverage of interest charges at 8% than at 4½%. To meet this changed situation we now suggest an alternative requirement related to the percent earned on the *principal* amount of the debt. These figures might be 33% before taxes for an industrial company, 20% for a public utility, and 25% for a railroad. It should be borne in mind here that the rate actually paid by most companies on their total debt is considerably less than the current 8% figures, since they have the benefit of older issues bearing lower coupons. The “poorest year” requirement could be set at about two-thirds of the seven-year requirement.

In addition to the earnings-coverage test, a number of others are generally applied. These include the following:

1. *Size of Enterprise*. There is a minimum standard in terms of volume of business for a corporation—varying as between industrials, utilities, and railroads—and of population for a municipality.

2. *Stock/Equity Ratio*. This is the ratio of the market price of the junior stock issues^{*} to the total face amount of the debt, or the debt plus preferred stock. It is a rough measure of the protection, or “cushion,” afforded by the presence of a junior investment that must first bear the brunt of unfavorable developments. This factor includes the market’s appraisal of the future prospects of the enterprise.

3. *Property Value*. The asset values, as shown on the balance sheet or as appraised, were formerly considered the chief security and protection for a bond issue. Experience has shown that in most cases safety resides in the earning power, and if this is deficient the assets lose most of their reputed value. Asset values, however, retain importance as a separate test of ample security for bonds and preferred stocks in three enterprise groups: public utilities (because rates may depend largely on the property investment), real-estate concerns, and investment companies.

At this point the alert investor should ask, “How dependable are tests of safety that are measured by past and present performance, in view of the